

Apple Inc.

Change is in the air; Many positive catalysts ahead; PO to \$330

Reiterate Rating: BUY | PO: 330.00 USD | Price: 271.35 USD

Many tailwinds in 2026; Gross margin upside impressive

We remain bullish on shares of Apple heading into the remainder of 2026 given (1) iPhone revenues are tracking better than expected (Globally including China) with record upgraders, (2) gross margins continue to show strength despite commodity headwinds, (3) AI enabled Siri will be available in 2026, (4) A foldable iPhone is expected this fall, (5) a new record installed base of 2.5+bn devices to drive continued double digit growth in Services, and (6) CEO transition in September with John Ternus to bring a focus on product launches while Tim Cook takes on Chairman role. Reiterate Buy on strong capital returns, eventual winner on AI at the edge and optionality from new products.

Best positioned to deal with gross margin headwinds

Apple's GMs came in stronger than expected at 49.3% driven by better Services and product mix despite some impact from memory pricing headwinds. June qtr margins were guided to 47.5% to 48.5% while absorbing some memory price headwinds. We expect Apple to raise the ASP of new higher end iPhones (Foldable, ProMax and Pro) introduced this fall, while maintaining ASP for base level models (driving potential share gains). Apart from the supply chain levers and raising Services pricing we see the iPhone as a relatively price inelastic product, where a \$100 price increase would not materially shift the demand curve but would absorb most of the memory related margin pressure.

More investments ahead? No more net cash neutral target

Management reiterated AI as a priority with an AI enabled Siri launching this year but also noted the step up in investments driven by headcount, engineering and infrastructure. Apple has been structurally under-levered from a financial standpoint and can support taking on incremental leverage. While investments will step up, they will not rise to the levels of Hyperscalers as Apple is likely to continue with a hybrid model to support AI inference infrastructure (third party + own data centers).

Raising estimates; PO to \$330

We model F26 rev/EPS of \$468.7bn/\$8.61 (prior of \$466bn/\$8.55). Our PO moves to \$330 on 32x C27E EPS of \$10.29 (prior \$325 on 32x C27E EPS \$10.14).

Estimates (Sep) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	6.75	7.46	8.61	9.96	10.84
EPS Change (YoY)	10.1%	10.5%	15.4%	15.7%	8.8%
Consensus EPS (Bloomberg)			8.56	9.41	10.46
Consensus EPS (Visible Alpha)			8.73	9.49	10.53
DPS	0.99	1.02	1.07	1.12	1.18
Valuation (Sep)					
P/E	40.2x	36.4x	31.5x	27.2x	25.0x
Dividend Yield	0.4%	0.4%	0.4%	0.4%	0.4%
EV / EBITDA*	28.1x	26.1x	22.4x	20.3x	18.7x
Free Cash Flow Yield*	2.7%	2.5%	2.7%	3.2%	3.4%

* For full definitions of *IQmethod*SM measures, see page 10.

01 May 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	325.00	330.00
2026E Rev (m)	465,643.9	468,701.3
2027E Rev (m)	523,076.3	531,398.3
2028E Rev (m)	557,810.1	562,610.5
2026E EPS	8.55	8.61
2027E EPS	9.74	9.96
2028E EPS	10.71	10.84

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Stock Data

Price	271.35 USD
Price Objective	330.00 USD
Date Established	1-May-2026
Investment Opinion	B-1-7
52-Week Range	193.25 USD - 288.62 USD
Mrkt Val (mn) / Shares Out (mn)	3,983,727 USD / 14,681.1
Free Float	98.3%
Average Daily Value (mn)	11465.07 USD
BofA Ticker / Exchange	AAPL / NAS
Bloomberg / Reuters	AAPL US / AAPLOQ
ROE (2026E)	134.6%
Net Dbt to Eqty (Sep-2025A)	85.1%

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iQprofileSM Apple Inc.

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	55.0%	59.6%	61.8%	56.7%	51.0%
Return on Equity	187.3%	171.4%	134.6%	102.3%	77.4%
Operating Margin	34.5%	35.0%	36.3%	35.3%	36.1%
Free Cash Flow	108,807	98,767	106,122	128,365	135,276

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.1x	1.0x	0.9x	1.0x	1.0x
Asset Replacement Ratio	0.8x	1.1x	0.8x	0.9x	0.8x
Tax Rate	14.4%	14.3%	15.5%	15.8%	15.6%
Net Debt-to-Equity Ratio	134.7%	85.1%	60.3%	34.0%	16.5%
Interest Cover	NM	NM	NM	NM	NM

Income Statement Data (Sep)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	391,035	416,161	468,701	531,398	562,611
% Change	2.0%	6.4%	12.6%	13.4%	5.9%
Gross Profit	182,787	197,489	228,404	254,949	274,320
% Change	6.8%	8.0%	15.7%	11.6%	7.6%
EBITDA	146,349	157,333	183,307	202,367	219,970
% Change	7.1%	7.5%	16.5%	10.4%	8.7%
Net Interest & Other Income	(232)	(330)	(358)	(520)	(414)
Net Income (Adjusted)	103,982	112,010	126,595	143,918	154,114
% Change	7.2%	7.7%	13.0%	13.7%	7.1%

Free Cash Flow Data (Sep)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	115,670	124,595	143,521	157,655	171,398
Depreciation & Amortization	11,445	11,698	13,290	14,715	16,592
Change in Working Capital	3,651	(25,000)	(35,112)	(33,354)	(38,648)
Deferred Taxation Charge	0	0	0	0	0
Other Adjustments, Net	(12,512)	189	(4,782)	2,634	0
Capital Expenditure	(9,447)	(12,715)	(10,796)	(13,285)	(14,065)
Free Cash Flow	108,807	98,767	106,122	128,365	135,276
% Change	9.3%	-9.2%	7.4%	21.0%	5.4%
Share / Issue Repurchase	(94,949)	(90,711)	(86,989)	(100,000)	(100,000)
Cost of Dividends Paid	(15,234)	(15,376)	(15,734)	(16,179)	(16,706)
Change in Debt	(9,958)	(6,451)	(7,914)	0	0

Balance Sheet Data (Sep)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	29,943	35,934	15,420	27,606	46,176
Trade Receivables	66,243	72,957	84,038	119,146	148,538
Other Current Assets	56,801	39,066	48,528	51,392	51,737
Property, Plant & Equipment	45,680	49,834	53,772	60,859	67,935
Other Non-Current Assets	166,313	161,450	175,845	176,792	177,749
Total Assets	364,980	359,241	377,602	435,795	492,136
Short-Term Debt	20,879	20,329	10,000	10,000	10,000
Other Current Liabilities	155,513	145,302	123,411	128,919	120,972
Long-Term Debt	85,750	78,328	74,404	74,404	74,404
Other Non-Current Liabilities	45,888	41,549	55,480	55,538	55,530
Total Liabilities	308,030	285,508	263,295	268,861	260,906
Total Equity	56,950	73,733	114,308	166,934	231,230
Total Equity & Liabilities	364,980	359,241	377,602	435,795	492,136

* For full definitions of iQmethodSM measures, see page 10.

Company Sector

IT Hardware

Company Description

Apple Inc. (AAPL) designs, manufactures, and markets consumer electronics and computers, and has developed its own proprietary iOS, Mac OS, tvOS and Watch OS operating systems and related software platform/ecosystem.

Revenues are principally derived from the iPhone line of smartphones, Services, hardware sales of the Macintosh family of notebook and desktop computers, iPad tablets, and wearables.

Investment Rationale

Our Buy rating on Apple is based on 1) expected strong iPhone upgrade cycle in F25, F26 driven by the need for latest hardware to enable Gen AI features, 2) higher growth in Services revenue, 3) higher margins from more internally developed silicon, 4) continuing capital returns, 5) AI features that can drive higher institutional ownership, and 6) risk around legal issues being manageable.

Stock Data

Average Daily Volume 42,251,976

Quarterly Earnings Estimates

	2025	2026
Q1	2.40A	2.84A
Q2	1.65A	2.01A
Q3	1.57A	1.89E
Q4	1.85A	1.86E



Takeaways from the earnings call

Newly announced incoming CEO John Ternus made a short statement noting his enthusiasm for the strong pipeline of Apple products and services and an “incredible roadmap ahead”.

CFO Kevan Parekh noted that Apple was going to no longer march toward a net cash neutral target. In our opinion, this means that Apple is likely to increase its pace of investments and while “excess” cash after investments will still be returned to shareholders, we see the possibility of increased investments to support an AI centric future. We already see a material step up in OpEx levels (well above revenue growth) in an effort to position the company in the AI era. With Apple continuing down the road of Apple silicon development for its data centers and in a world where Apple becomes the gateway to AI for 2.5bn+ devices, the compute needs will grow significantly. Apple could be setting up to invest more materially vs history (although nowhere close to hyperscaler capex) as their needs will be largely for internal purposes.

Apple reported F2Q26 (March qtr) revenues of \$111.2bn (+16.6% y/y), which was above \$109.3bn Street estimates & above the high-end of the guidance range (despite supply constraints). EPS of \$2.01 (+22% y/y) was slightly above our estimate of \$2.00 (BofA incl. SBC) & above consensus of \$1.94. Globally, Apple set all-time rev records in both developed & emerging markets & saw DD% y/y growth across every geo segment and nearly every emerging market tracked. Total F3Q26 revs were guided to grow 14% to 17% y/y (implying \$107.2bn & \$110.0bn at 14.0% & 17.0% y/y growth respectively).

iPhone revs grew +22% y/y in F2Q26

Apple saw F2Q iPhone revenue of \$57.0bn (+21.7% y/y), an all-time revenue record for the March quarter driven by the iPhone 17 family (strongest iPhone family ever). During the quarter, Apple launched the iPhone 17e and demand for iPhones was robust, with DD% growth in the majority of markets. The iPhone active install base grew to an all-time high and set a new all-time record of upgraders in March quarter.

iPad revs +8% y/y and Mac revs +6% y/y

iPad generated \$6.9bn revenue (+8.0% y/y), driven by the M5-powered iPad Pro and A16 powered iPad. Within iPad, Apple continues to add new users, with the iPad installed based reaching another all-time high. Apple noted that over half of the customers who purchased an iPad during the March quarter were new to the product. Mac revenue was \$8.4bn (+5.7% y/y), driven by higher-than-expected levels of demand, setting March quarter records for both upgraders and new Mac customers. Additionally, MacBook Neo was launched during the quarter. Apple announced as part of their \$600bn commitment to the US that Mac mini production is coming to America later this year, as Apple expands factory operations in Houston. The overall Mac installed base reached another all-time high, with a March quarter record of new Mac customers.

Wearables rev \$7.9bn, +5% y/y

Wearables, Home, and Accessories rev was \$7.9bn (+5.0% y/y), driven by strength in Wearables and Accessories and emerging markets set a new March quarter revenue record. In the quarter, installed based reached a new all-time high with over half of customers purchasing an Apple Watch being new to the product

Services rev grew +16% y/y to \$31bn, another record

Services revenue grew +16.3% y/y to \$31.0bn, an all-time revenue record for Services and setting all-time revenue records in both developed and emerging markets. Most of the Services set all-time revenue records; transacting and paid accounts reached new all-time highs in the quarter. Apple launched Apple Business, a new all-in-one platform that enables companies to manage deployments and scale. Apple’s active installed base is over 2.5bn active devices.



GMs +111bps q/q & +222bps y/y, +30bps vs guide

Apple's gross margin of 49.3% (+111bps q/q) was above our estimate of 48.2% and beat consensus at 48.4% (midpoint of guidance was 48.5%). Product GM came in at 38.7% (+276bps y/y and -188bps q/q) sequentially impacted by higher memory costs. Services GM came in at 76.7% (+16bps q/q). Management guided F2Q26 GM to 47.5% to 48.5% (implying up +101bps y/y at the low-end & +201bps y/y at the high-end). We note this guidance embeds more impact from memory prices than F2Q26 & assumes global tariffs remain in effect (no refunds) & macro does not worsen.

F2Q Capital returns; ended qtr with \$62bn net cash

For the March quarter, Apple returned ~\$15bn to shareholders, which included \$3.8bn in dividends and \$11bn through open market purchases of 42mn Apple shares. Apple had \$5.8bn in debt maturities and commercial paper was unchanged at \$2bn during the qtr. Net cash was \$62bn at the end of the quarter (sequentially up from \$54bn in F1Q26). The Board of Directors also declared a cash dividend of \$0.27 per share (+4%).

Abbreviations

Mn: Million

Bn: Billion

GM: Gross Margin

FX: Foreign Exchange

Mgmt: Management

MSD: Mid-single-digits

HSD: High-single-digits

Rev: Revenue

Qtr: Quarter

Approx: Approximately

OP: Operating Profit

PT: point

DD: double-digits

SoC: system on Chip



Model

Figure 1: AAPL guided F3Q rev growth of +14% to +17%

Apple Income Statement

Apple Inc. (AAPL)	F2025					F2026E							
(\$ Millions Except Per Share Data)	12/24	3/25	6/25	9/25	12/25	3/26	6/26E	9/26E	F2025	F2026E	F2027E	F2028E	
Income Statement													
Revenue (\$mn)	124300	95359	94036	102466	143756	111184	108832	104929	416161	468701	531398	562611	
iPhone revenue	69138	46841	44582	49025	85269	56994	53760	46128	209586	242151	272628	271219	
iPad revenue	8088	6402	6581	6952	8595	6914	6905	7639	28023	30053	33110	35793	
Mac revenue	8987	7949	8046	8726	8386	8399	9065	9662	33708	35512	45034	49060	
Services revenue	26340	26645	27423	28750	30013	30976	31262	32488	109158	124739	140007	158528	
Other Rev	11747	7522	7404	9013	11493	7901	7840	9013	35686	36247	38585	41472	
Cost of Goods Sold (incl. SBC)	66025	50492	50318	54125	74525	56403	56367	55608	220960	242904	279396	291402	
Gross Profit (incl. SBC)	58275	44867	43718	48341	69231	54781	52465	49321	195201	225798	252002	271209	
Total Operating Expense (incl. SBC)	15443	15278	15516	15914	18379	18896	18937	16495	62151	72707	78087	85115	
R&D (incl. SBC)	8268	8550	8866	8866	10887	11419	11319	9863	34550	43488	45522	46817	
SG&A (incl. SBC)	7175	6728	6650	7048	7492	7477	7618	6632	27601	29219	32565	38299	
Operating Income (incl. SBC)	42832	29589	28202	32427	50852	35885	33528	32826	133050	153091	173915	186093	
Total Interest and Other Income/(Expense)	-248	-279	-171	377	150	-52	-66	-119	-321	-87	-520	-414	
Provision for Income Taxes (incl. SBC)	42584	29310	28031	32804	51002	35833	33462	32707	20719	26409	29477	31565	
Net Income (Incl. Stock-based-comp)	36330	24780	23434	27466	42097	29578	27774	27147	112010	126595	143918	154114	
Diluted EPS (incl. SBC)	2.40	1.65	1.57	1.85	2.84	2.01	1.89	1.86	7.46	8.61	9.96	10.84	
Diluted Weighted Average Shares	15151	15056	14948	14864	14810	14726	14666	14606	15005	14702	14456	14216	
Y/Y & Q/Q Growth Rates													
Revenues (Y/Y)	4.0%	5.1%	9.6%	7.9%	15.7%	16.6%	15.7%	2.4%	6.4%	12.6%	13.4%	5.9%	
Gross Profit (Y/Y)	2.0%	4.1%	9.2%	6.0%	12.9%	11.7%	12.0%	2.7%	8.0%	15.7%	11.6%	7.6%	
Opex (Y/Y)	6.6%	6.3%	8.3%	11.4%	19.0%	23.7%	22.0%	3.6%	8.2%	17.0%	7.4%	9.0%	
R&D (Y/Y)	7.4%	8.2%	10.7%	14.2%	31.7%	33.6%	27.7%	11.2%	10.1%	25.9%	4.7%	2.8%	
SG&A (Y/Y)	5.7%	4.0%	5.2%	8.0%	4.4%	11.1%	14.6%	(5.9%)	5.8%	5.9%	11.5%	17.6%	
Op. Income (Y/Y)	6.1%	6.1%	11.2%	9.6%	18.7%	21.3%	18.9%	1.2%	8.0%	15.1%	13.6%	7.0%	
Pretax Income (Y/Y)	5.6%	4.5%	10.0%	10.8%	19.8%	22.3%	19.4%	(0.3%)	7.5%	15.3%	13.3%	7.1%	
Net Income (Y/Y)	7.1%	4.8%	9.3%	9.9%	15.9%	19.4%	18.5%	(1.2%)	7.7%	13.0%	13.7%	7.1%	
EPS (Y/Y)	10.1%	7.7%	12.2%	12.7%	18.5%	22.0%	20.8%	0.6%	10.6%	15.3%	15.6%	8.9%	
Diluted Shares (Y/Y)	(2.7%)	(2.6%)	(2.6%)	(2.5%)	(2.2%)	(2.2%)	(1.9%)	(1.7%)	(2.6%)	(2.0%)	(1.7%)	(1.7%)	
Revenues (Q/Q)	30.9%	(23.3%)	(1.4%)	9.0%	40.3%	(22.7%)	(2.1%)	(3.6%)					
Gross Profit (Q/Q)	32.8%	(23.0%)	(2.6%)	10.6%	43.2%	(20.9%)	(4.2%)	(6.0%)					
Opex (Q/Q)	8.1%	(1.1%)	1.6%	2.6%	15.5%	2.8%	0.2%	(12.9%)					
Op. Income (Q/Q)	44.7%	(30.9%)	(4.7%)	15.0%	56.8%	(29.4%)	(6.6%)	(2.1%)					
Diluted Shares (Q/Q)	(0.6%)	(0.6%)	(0.7%)	(0.6%)	(0.4%)	(0.6%)	(0.4%)	(0.4%)					
% of Revenues													
Gross Profit (Incl. SBC)	46.9%	47.1%	46.5%	47.2%	48.2%	49.3%	48.2%	47.0%	46.9%	48.2%	47.4%	48.2%	
R&D (incl. SBC)	6.7%	9.0%	9.4%	8.7%	7.6%	10.3%	10.4%	9.4%	7.1%	7.1%	7.3%	7.2%	
SG&A (incl. SBC)	5.8%	7.1%	7.1%	6.9%	5.2%	6.7%	7.0%	6.3%	5.3%	5.3%	5.4%	5.4%	
Opex (incl. SBC)	12.4%	16.0%	16.5%	15.5%	12.8%	17.0%	17.4%	15.7%	14.9%	15.5%	14.7%	15.1%	
EBIT (incl. SBC)	34.5%	31.0%	30.0%	31.6%	35.4%	32.3%	30.8%	31.3%	35.0%	36.3%	35.3%	36.1%	
Pretax Income	36.9%	34.1%	32.5%	35.5%	38.5%	36.6%	34.3%	34.8%	(2.6%)	(2.5%)	(2.6%)	(2.5%)	
Tax Rate (incl. SBC)	14.7%	15.5%	16.4%	16.3%	17.5%	17.5%	17.0%	17.0%	32.0%	32.7%	32.7%	33.1%	
Net Income (Operating, incl. SBC)	29.2%	26.0%	24.9%	26.8%	29.3%	26.6%	25.5%	25.9%	34.9%	36.3%	35.2%	36.1%	

Source: Company Reports, BofA Global Research estimates

BofA GLOBAL RESEARCH



Figure 2: Apple saw iPhone revenue growth of 22% in the March quarter

Apple Product/Segment Revenues and Units

Apple Inc. (AAPL)		F2025					F2026E						
(\$ Millions Except Per Share Data)		12/24	3/25	6/25	9/25	12/25	3/26	6/26E	9/26E	F2025	F2026E	F2027E	F2028E
Sales By Segment													
Total Revenue (\$mn)		\$124,300	\$95,359	\$94,036	\$102,466	\$143,756	\$111,184	\$108,832	\$104,929	\$416,161	\$468,701	\$531,398	\$562,611
iPhone revenue		69,138	46,841	44,582	49,025	85,269	56,994	53,760	46,128	209,586	242,151	272,628	271,219
iPad revenue		8,088	6,402	6,581	6,952	8,595	6,914	6,905	7,639	28,023	30,053	33,110	35,793
Mac revenue		8,987	7,949	8,046	8,726	8,386	8,399	9,065	9,662	33,708	35,512	45,034	49,060
iPod revenue		43	0	0	0	0	0	0	0	43	0	0	0
iTunes / Software / Services revenue		26,340	26,645	27,423	28,750	30,013	30,976	31,262	32,488	109,158	124,739	140,007	158,528
Accessories + Vision Pro		3,839	4,675	4,053	4,797	3,629	5,111	4,539	4,797	17,364	18,076	19,506	21,438
Apple Watch		7,864	2,847	3,351	4,216	7,864	2,790	3,301	4,216	18,278	18,171	19,079	20,033
% of Revenue													
iPhone revenue		56%	49%	47%	48%	59%	51%	49%	44%	50%	52%	51%	48%
iPad revenue		7%	7%	7%	7%	6%	6%	6%	7%	7%	6%	6%	6%
Mac revenue		7%	8%	9%	9%	6%	8%	8%	9%	8%	8%	8%	9%
iTunes / Software / Services revenue		21%	28%	29%	28%	21%	28%	29%	31%	26%	27%	26%	28%
Product Segment Revenue Growth - Y/Y		4%	5%	10%	8%	16%	17%	16%	2%	6%	13%	13%	6%
iPhone revenue		(1%)	2%	13%	6%	23%	22%	21%	(6%)	4%	16%	13%	(1%)
iPad revenue		15%	15%	(8%)	0%	6%	8%	5%	10%	5%	7%	10%	8%
Mac revenue		16%	7%	15%	13%	(7%)	6%	13%	11%	12%	5%	27%	9%
iTunes / Software / Services revenue		14%	12%	13%	15%	14%	16%	14%	13%	14%	14%	12%	13%
Product Segment Revenue Growth - Q/Q		31%	(23%)	(1%)	9%	40%	(23%)	(2%)	(4%)				
iPhone revenue		50%	(32%)	(5%)	10%	74%	(33%)	(6%)	(14%)				
iPad revenue		16%	(21%)	3%	6%	24%	(20%)	(0%)	11%				
Mac revenue		16%	(12%)	1%	8%	(4%)	0%	8%	7%				
iTunes / Software / Services revenue		5%	1%	3%	5%	4%	3%	1%	4%				
Units by Segment													
Total Units (k)													
iPhone		75,000	53,000	49,000	54,000	87,000	60,000	55,000	44,000	231,000	246,000	255,000	258,000
iPad		12,238	13,252	13,611	11,750	12,730	13,900	13,883	12,338	50,850	52,850	57,396	60,822
Mac		7,005	6,766	5,925	7,250	7,300	8,000	6,755	8,120	26,947	30,175	38,686	42,623
Product Segment Unit Growth - Y/Y													
iPhone		(3%)	2%	14%	4%	16%	13%	12%	(19%)	3%	6%	4%	1%
iPad		4%	2%	2%	(4%)	4%	5%	2%	5%	1%	4%	9%	6%
Mac		10%	5%	5%	12%	4%	18%	14%	12%	8%	12%	28%	10%
Product Segment Unit Growth - Q/Q													
iPhone		44%	(29%)	(8%)	10%	61%	(31%)	(8%)	(20%)				
iPad		(0%)	8%	3%	(14%)	8%	9%	(0%)	(11%)				
Mac		8%	(3%)	(12%)	22%	1%	10%	(16%)	20%				
Product Segment ASPs													
iPhone		922	884	910	908	980	950	977	1,048	907	984	1,069	1,051
iPad		634	459	459	567	666	481	473	592	551	569	577	588
Mac		1,262	1,153	1,334	1,184	1,129	1,032	1,320	1,172	1,251	1,177	1,164	1,151
Product Segment ASP Growth - Y/Y													
iPhone		2%	(0%)	(0%)	2%	6%	7%	7%	15%	1%	8%	9%	(2%)
iPad		6%	7%	(14%)	(0%)	5%	5%	3%	4%	4%	3%	1%	2%
Mac		5%	2%	10%	1%	(11%)	(11%)	(1%)	(1%)	4%	(6%)	(1%)	(1%)
Product Segment ASP Growth - Q/Q													
iPhone		4%	(4%)	3%	(0%)	8%	(3%)	3%	7%				
iPad		12%	(28%)	0%	23%	17%	(28%)	(2%)	25%				
Mac		8%	(9%)	16%	(11%)	(5%)	(9%)	28%	(11%)				

Source: Company Reports, BofA Global Research estimates

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Figure 3: Apple ended F2Q with \$62bn in net cash

Apple Balance Sheet

Apple Inc. (AAPL)

(\$ Millions Except Per Share Data)

Balance Sheet

	F2025					F2026E						
	12/24	3/25	6/25	9/25	12/25	3/26	6/26E	9/26E	F2025	F2026E	F2027E	F2028E
Balance Sheet												
Total Assets	\$344,085	\$331,233	\$331,495	\$359,241	\$379,297	\$371,082	\$364,442	\$377,602	\$359,241	\$377,602	\$435,795	\$492,136
Total Current Assets	133,240	118,674	122,491	147,957	158,104	144,114	137,807	147,986	147,957	147,986	198,144	246,451
Cash/Equivalents	30,299	28,162	36,269	35,934	45,317	45,572	23,089	15,420	35,934	15,420	27,606	46,176
ST Investments	23,476	20,336	19,103	18,763	21,590	22,935	22,935	22,935	18,763	22,935	22,935	22,935
Accounts Receivable	29,639	49,798	46,835	72,957	70,320	53,511	68,715	84,038	72,957	84,038	119,146	148,538
Deferred Tax Assets	0	0	0	0	0	0	0	0	0	0	0	0
Inventory	6,911	6,269	5,925	5,718	5,875	6,747	8,709	11,008	5,718	11,008	13,872	14,217
Other Current Assets	42,915	14,109	14,359	14,585	15,002	15,349	14,359	14,585	14,585	14,585	14,585	14,585
PP&E	46,069	46,876	48,508	49,834	50,159	50,116	51,758	53,772	49,834	53,772	60,859	67,935
LT Investments	87,593	84,424	77,614	77,723	77,888	78,088	78,088	78,088	77,723	78,088	78,088	78,088
Goodwill	0	0	0	0	0	0	0	0	0	0	0	0
Intangible Assets	0	0	0	0	0	0	0	0	0	0	0	0
Other Assets	77,183	81,259	82,882	83,727	93,146	98,764	96,789	97,757	83,727	97,757	98,704	99,661
Total Liabilities	\$277,327	\$264,437	\$265,665	\$285,508	\$291,107	\$264,591	\$253,393	\$263,295	\$285,508	\$263,295	\$268,861	\$260,906
Total Current Liabilities	144,365	144,571	141,120	165,631	162,367	134,641	123,465	133,411	165,631	133,411	138,919	130,972
Accounts Payable	61,910	54,126	50,374	69,860	70,587	57,349	46,503	56,493	69,860	56,493	61,941	54,002
Accrued Liabilities	69,612	70,825	71,478	75,442	77,956	66,985	66,963	66,919	75,442	66,919	66,978	66,970
Deferred Revenue - Current	8,461	8,976	8,979	9,055	9,413	9,331	9,309	9,265	9,055	9,265	9,324	9,316
Other Current Liabilities (accrued exp)	61,151	61,849	62,499	66,387	68,543	57,654	57,654	57,654	66,387	57,654	57,654	57,654
Current Portion LT Debt	12,843	19,620	19,268	20,329	13,824	10,307	10,000	10,000	20,329	10,000	10,000	10,000
LT Debt	83,956	78,566	82,430	78,328	76,685	74,404	74,404	74,404	78,328	74,404	74,404	74,404
Other LT Liabilities	49,006	41,300	42,115	41,549	52,055	55,546	55,524	55,480	41,549	55,480	55,538	55,530
Deferred Revenue - Non-Current	0	0	0	0	0	0	(23)	(66)	0	(66)	(8)	(16)
Deferred Tax Liabilities	0	0	0	0	0	0	0	0	0	0	0	0
Other Non-Current Liabilities	49,006	41,300	42,115	41,549	52,055	55,546	55,546	55,546	41,549	55,546	55,546	55,546
Shareholders' Equity	\$66,758	\$66,796	\$65,830	\$73,733	\$88,190	\$106,491	\$111,049	\$114,308	\$73,733	\$114,308	\$166,934	\$231,230
Common Stock	84,768	88,711	89,806	93,568	95,221	99,507	99,507	99,507	93,568	99,507	99,507	99,507
Paid-in Capital	0	0	0	0	0	0	0	0	0	0	0	0
Preferred Stock	0	0	0	0	0	0	0	0	0	0	0	0
Other	0	0	0	0	0	0	0	0	0	0	0	0
Retained Earnings (Deficit)	(11,221)	(15,552)	(17,613)	(14,264)	(2,177)	12,359	16,917	20,176	(14,264)	20,176	72,802	137,098
Accumulated Other comprehensive income	(6,789)	(6,363)	(6,363)	(5,571)	(4,854)	(5,375)	(5,375)	(5,375)	(5,571)	(5,375)	(5,375)	(5,375)
Treasury Stock	0	0	0	0	0	0	0	0	0	0	0	0
Total Liabilities & Shareholders' Equity	344,085	331,233	331,495	359,241	379,297	371,082	364,442	377,602	359,241	377,602	435,795	492,136
Balance Sheet Statistics												
Book Value per Share	\$4.41	\$4.44	\$4.40	\$4.96	\$5.95	\$7.23	\$7.57	\$7.83	\$4.91	\$7.77	\$11.55	\$16.27
Tangible Book Value per Share	\$4.41	\$4.44	\$4.40	\$4.96	\$5.95	\$7.23	\$7.57	\$7.83	\$4.91	\$7.77	\$11.55	\$16.27
Debt/Equity	145%	147%	154%	134%	103%	80%	76%	74%	134%	74%	51%	37%
Net Cash & Investments	\$44,569	\$34,736	\$31,288	\$33,763	\$54,286	\$61,884	\$39,708	\$32,039	\$33,763	\$32,039	\$44,225	\$62,795
Net Cash & Investments per Share	\$2.94	\$2.31	\$2.09	\$2.27	\$3.67	\$4.20	\$2.71	\$2.19	\$2.25	\$2.18	\$3.06	\$4.42
Inventory Turns	36.9x	30.3x	32.6x	36.8x	50.9x	35.3x	28.8x	22.3x	33.6x	28.7x	22.2x	20.5x
Days of Inventory	10	12	11	10	7	10	12	16	11	13	16	18
Days Accts. Receivable	35	37	46	53	45	50	51	66	60	60	69	86
Days payables	90	105	95	101	86	103	84	84	114	95	77	72
Cash cycle	(46)	(55)	(37)	(39)	(34)	(43)	(21)	(3)	(43)	(22)	8	31
Op. WC/Revenue	(5%)	1%	1%	2%	1%	1%	7%	9%	2%	8%	13%	19%
ROE	235%	148%	141%	157%	208%	122%	102%	96%	175%	148%	120%	89%
ROA	41%	29%	28%	32%	46%	32%	30%	29%	32%	34%	36%	35%
Drivers:												
Inventory Turns	37.9x	31.8x	33.6x	37.5x	50.3x	33.0x	25.6x	20.0x	38.2x	21.8x	19.9x	20.3x
Inventory Days	10	11	11	10	7	11	14	18	9	16	18	18
Days Accts. Receivable	21	47	45	64	44	43	57	72	63	65	81	95
Days Payables	85	98	91	117	86	93	75	92	115	85	81	67
Cash Cycle	(54)	(39)	(36)	(44)	(35)	(38)	(4)	(2)	(42)	(4)	18	45

Source: Company Reports, BofA Global Research estimates

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Figure 4: Apple returned ~\$15bn to shareholders, which included \$3.8bn in dividends and \$11bn in buybacks in March quarter

Apple Cash Flow Statement

Apple Inc. (AAPL)	F2025					F2026E						
(\$ Millions Except Per Share Data)	12/24	3/25	6/25	9/25	12/25	3/26	6/26E	9/26E	F2025	F2026E	F2027E	F2028E
Cash Flow Statement												
Cash from Operating Activities	\$29,935	\$23,952	\$27,867	\$29,728	\$53,925	\$28,702	\$9,538	\$24,752	\$111,482	\$116,918	\$141,650	\$149,342
Net Income	36,330	24,780	23,434	27,466	42,097	29,578	27,774	27,147	112,010	126,595	143,918	154,114
Depreciation and Amortization	3,080	2,661	2,830	3,127	3,214	3,439	3,265	3,372	11,698	13,290	14,715	16,592
Stock Based Compensation	3,286	3,226	3,168	3,183	3,594	3,528	3,591	3,148	12,863	13,861	16,371	17,285
Deferred Taxes	0	0	0	0	0	0	0	0	0	0	0	0
Other - Loss on disposition of PPE	(2,009)	(208)	469	1,659	(528)	(1,189)	0	0	(89)	(1,717)	0	0
Change in Working Capital	(10,752)	(6,507)	(2,034)	(5,707)	5,548	(6,654)	(25,092)	(8,914)	(25,000)	(35,112)	(33,354)	(38,648)
Accounts Receivable	3,597	3,669	(1,581)	(12,367)	(153)	9,448	(15,204)	(15,323)	(6,682)	(21,232)	(35,108)	(29,392)
Inventory	215	643	365	177	(211)	(873)	(1,962)	(2,300)	1,400	(5,345)	(2,864)	(345)
Other Current Assets	4,105	695	2,639	(16,983)	(7,469)	3,148	990	(226)	(9,544)	(3,557)	0	0
Accounts Payable	(6,671)	(7,933)	(3,875)	19,381	848	(13,145)	(10,846)	9,990	902	(13,153)	5,449	(7,939)
Deferred Revenue	0	0	0	0	0	0	(23)	(44)	0	(66)	59	(8)
Other Asset and Other Liabilities	(11,998)	(3,581)	418	4,085	12,533	(5,232)	1,953	(1,012)	(11,076)	8,242	(890)	(964)
Cash from Investing Activities	\$9,792	\$2,917	\$5,073	(\$2,587)	(\$4,886)	(\$6,168)	(\$3,018)	(\$3,434)	\$15,195	(\$17,506)	(\$13,285)	(\$14,065)
Capital Expenditures	(2,940)	(3,071)	(3,462)	(3,242)	(2,373)	(1,971)	(3,018)	(3,434)	(12,715)	(10,796)	(13,285)	(14,065)
Sale of PP&E	0	0	0	0	0	0	0	0	0	0	0	0
Proceeds of investments	19,459	12,338	14,024	7,976	10,334	16,972	0	0	53,797	27,306	0	0
Purchase of Investments	(6,124)	(6,318)	(5,149)	(6,816)	(12,693)	(19,739)	0	0	(24,407)	(32,432)	0	0
Acquisitions/intang assets	0	0	0	0	0	0	0	0	0	0	0	0
Other/Strategic investments	(603)	(32)	(340)	(505)	(154)	(1,430)	0	0	(1,480)	(1,584)	0	0
Cash from Financing Activities	(\$39,371)	(\$29,006)	(\$24,833)	(\$27,476)	(\$39,656)	(\$22,279)	(\$29,004)	(\$28,987)	(\$120,641)	(\$119,926)	(\$116,179)	(\$116,706)
Proceeds from the issuance of term debt, net	0	0	4,481	0	0	0	0	0	4,481	0	0	0
Repayments of term debt	(1,009)	(3,000)	(5,673)	(1,250)	(2,164)	(5,750)	0	0	(10,932)	(7,914)	0	0
Issuance of Common	0	0	0	0	0	0	0	0	0	0	0	0
Treasury Stock	(23,606)	(25,898)	(21,075)	(20,132)	(24,701)	(12,288)	(25,000)	(25,000)	(90,711)	(86,989)	(100,000)	(100,000)
Preferred Stock	0	0	0	0	0	0	0	0	0	0	0	0
Other	(2,956)	(326)	(2,524)	(265)	(2,960)	(418)	0	0	(6,071)	(3,378)	0	0
Dividends	(3,856)	(3,758)	(3,945)	(3,862)	(3,921)	(3,822)	(4,004)	(3,987)	(15,376)	(15,734)	(16,179)	(16,706)
ESOP Proceeds	0	0	0	0	0	0	0	0	0	0	0	0
Foreign Exchange Effects	0	0	0	0	0	0	0	0	0	0	0	0
Net Change in Cash	\$356	(\$2,137)	\$8,107	(\$335)	\$9,383	\$255	(\$22,483)	(\$7,669)	\$6,036	(\$20,514)	\$12,186	\$18,571
Net Cash - Beginning Balance	29,943	30,299	28,162	36,269	35,934	45,317	45,572	23,089	30,093	36,129	15,615	27,801
Net Cash - Ending Balance	30,299	28,162	36,269	35,934	45,317	45,572	23,089	15,420	36,129	15,615	27,801	46,371
Free Cash Flow												
Free Cash Flow	\$26,995	\$20,881	\$24,405	\$26,486	\$51,552	\$26,731	\$6,521	\$21,318	\$98,767	\$106,122	\$128,365	\$135,276
Cash From Operations	29,935	23,952	27,867	29,728	53,925	28,702	9,538	24,752	111,482	116,918	141,650	149,342
Capital Expenditures	(2,940)	(3,071)	(3,462)	(3,242)	(2,373)	(1,971)	(3,018)	(3,434)	(12,715)	(10,796)	(13,285)	(14,065)
Free Cash Flow Per Share	\$1.78	\$1.39	\$1.63	\$1.78	\$3.48	\$1.82	\$0.44	\$1.46	\$6.58	\$7.22	\$8.88	\$9.52
Free Cash Flow (after acq.)	26,995	20,881	24,405	26,486	51,552	26,731	6,521	21,318	98,767	106,122	128,365	135,276
Drivers												
Depreciation & amortization	3,080	2,661	2,830	3,127	3,214	3,439	3,265	3,372	11,698	13,290	14,715	16,592
Cap Ex/Depreciation	1.0	1.2	1.2	1.0	0.7	0.6	0.9	1.0	1.1	0.8	0.9	0.8
Cap Ex/Sales	(2%)	(3%)	(4%)	(3%)	(2%)	(2%)	(3%)	(3%)	(3%)	(2%)	(3%)	(3%)
Annual Depr. % of PP&E (prior qtr)	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%

Source: Company Reports, BofA Global Research estimates

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Price objective basis & risk

Apple Inc. (AAPL)

Our PO of \$330 is based on 32x our C27E EPS of \$10.29. Our target multiple compares to the 5-year historical range of 19-35x (median 27x). We believe a multiple at the higher end of the historical range is justified given a multi-year upgrade cycle, large cash balance and opportunity to diversify into new end markets, improving mix and diversity of services.

Downside risks are a) weaker iPhone cycle on consumer spending risk, b) weaker near-term services trajectory where App Store & Licensing can decelerate, c) gross profit dollars declining y/y next few quarters, d) iPads/Macs reverting to pre-COVID levels, e) stronger dollar, f) antitrust lawsuit. Other risks are negative impact to licensing revenues from competing AI related search, potential trade conflicts, tariffs, longer iPhone replacement cycles, commoditization in the smartphone market, intensifying competition in the tablet market, ability to manage beat and raise expectations for EPS estimates, and requirement to maintain pace of product innovation.

Upside risks are a) stronger sales of Pro iPhone models which can help average selling price and help the mix of the business, b) est. revisions can be lower vs. peers, c) potential new products (AR/VR), and services (advertising). Other upside risks are stronger than expected iPhone cycle, gross margin upside from better mix of higher end iPhones, tailwinds from lower memory costs, and a faster than expected recovery in emerging markets.

Analyst Certification

I, Wamsi Mohan, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - IT Hardware and Technology Supply Chain Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Amphenol	APH	APH US	Wamsi Mohan
	Apple Inc.	AAPL	AAPL US	Wamsi Mohan
	Celestica Inc.	CLS	CLS US	Ruplu Bhattacharya
	Celestica Inc.	YCLS	CLS CN	Ruplu Bhattacharya
	Corning Inc.	GLW	GLW US	Wamsi Mohan
	Dell Technologies Inc.	DELL	DELL US	Wamsi Mohan
	DigitalOcean	DOCN	DOCN US	Wamsi Mohan
	Flex Ltd.	FLEX	FLEX US	Ruplu Bhattacharya
	Hewlett-Packard Enterprise	HPE	HPE US	Wamsi Mohan
	Ingram Micro Holding Corporation	INGM	INGM US	Ruplu Bhattacharya
	International Business Machines Corp.	IBM	IBM US	Wamsi Mohan
	Jabil Inc.	JBL	JBL US	Ruplu Bhattacharya
	Nutanix Inc	NTNX	NTNX US	Wamsi Mohan
	Sandisk Corporation	SNDK	SNDK US	Wamsi Mohan
	Seagate Technology	STX	STX US	Wamsi Mohan
	TD Synnex Corp	SNX	SNX US	Ruplu Bhattacharya
	TE Connectivity Plc.	TEL	TEL US	Wamsi Mohan
	Western Digital Corporation	WDC	WDC US	Wamsi Mohan
NEUTRAL				
	CDW Corp	CDW	CDW US	Ruplu Bhattacharya
	Concentrix Corporation	CNXC	CNXC US	Ruplu Bhattacharya
	Enovix Corporation	ENVX	ENVX US	Ruplu Bhattacharya
	Everpure Inc	P	P US	Wamsi Mohan
	NetApp Inc.	NTAP	NTAP US	Wamsi Mohan
	Sanmina Corporation	SANM	SANM US	Ruplu Bhattacharya



US - IT Hardware and Technology Supply Chain Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Sensata Technologies Holdings Plc	ST	ST US	Wamsi Mohan
UNDERPERFORM				
	Arrow Electronics Inc.	ARW	ARW US	Ruplu Bhattacharya
	Avnet Inc.	AVT	AVT US	Ruplu Bhattacharya
	HP Inc.	HPQ	HPQ US	Wamsi Mohan
	Super Micro Computer Inc.	SMCI	SMCI US	Ruplu Bhattacharya
	Teradata Corporation	TDC	TDC US	Wamsi Mohan
	Vishay Intertechnology, Inc.	VSH	VSH US	Ruplu Bhattacharya

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

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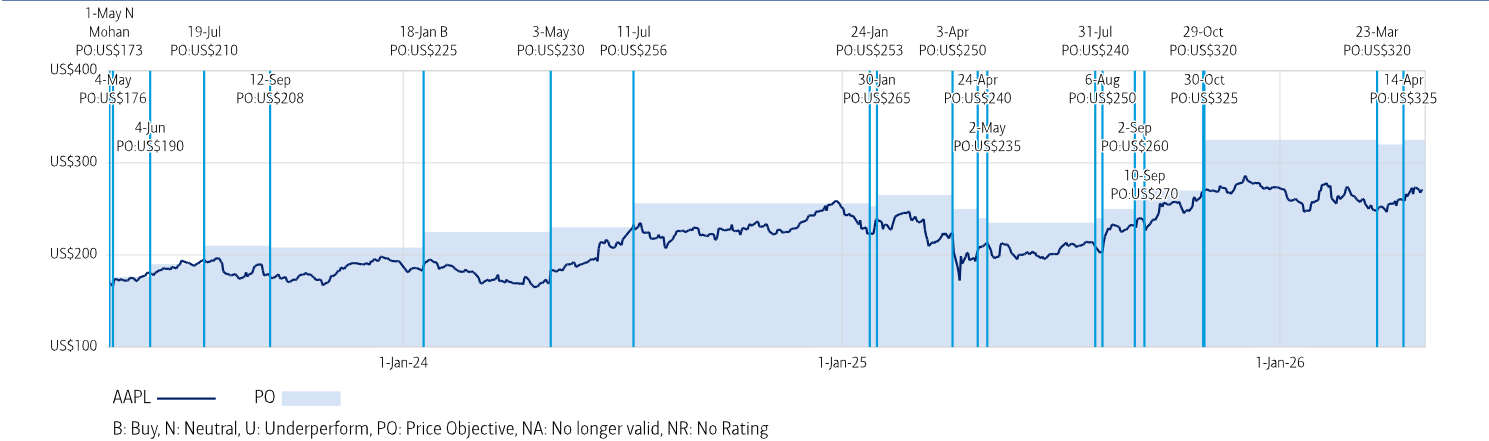
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Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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